

Title Report - Underwriter - commitment should work - 2

TECHNICAL UNDERWRITING REPORT

Title Commitment 01-26006219-01T

Report Date: January 16, 2026
Commitment Number: 01-26006219-01T
Commitment Date: January 16, 2026 at 7:00 a.m.
Underwriter: Old Republic National Title Insurance Company
Loan ID: MS-26-1226

EXECUTIVE SUMMARY

CLOSING STATUS: NOT READY - CRITICAL DEFECTS REQUIRE IMMEDIATE RESOLUTION

Title Commitment 01-26006219-01T presents three critical deficiencies that prevent policy issuance and closing. The transaction cannot proceed until these issues are resolved:

- 1. CRITICAL: Recorded deed conveys property to wrong grantees (Christopher Lane Thornhill and Sara E. Jackson) instead of proposed buyer Kyla B. Fortenberry, creating an irreconcilable chain of title break
- 2. HIGH: Unresolved discrepancy between vested owner (GARNER TREE FARM, LLC) and seller (Terri G. Crawley) with insufficient LLC authorization documentation
- 3. HIGH: Duplicate and overlapping mineral interest exceptions requiring consolidation and clarification

Current Readiness Score: 67/100 - Below acceptable threshold for closing authorization

PROPERTY INFORMATION

Field	Details
Property Address	675 Bunker Hill Road, Columbia, MS 39429-7832
County/State	Marion County, Mississippi
Parcel Number	074-04-000-04-005
Total Acreage	88.00 acres
Estate/Interest	Fee Simple
Legal Description	Multiple parcels: NE1/4 of SE1/4 of Section 4, TSN, R18W; SE1/4 of NE1/4 of Section 4, TSN, R18W (less 2 acres); 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W
Assessed Value	\$9,030.00 (Land: \$9,030.00; Building: \$0.00)

| Market Value | \$60,190.00 (Land: \$26,180.00; Improvements: \$34,010.00) |

Tax Status

- 2025 County Taxes: 1st installment \$1,132.52 (PAID)
- Delinquent Amount: \$0.00
- Status: Current

PARTIES TO TRANSACTION

Vested Owner (Current Title Holder)

- Name: GARNER TREE FARM, LLC, A MISSISSIPPI LIMITED LIABILITY COMPANY
- Status: Current record owner
- Members Identified:
 - Ricky Lane McPhail
 - Terri Garner Crawley
 - Patsy Garner Brewton
 - Karen Garner Delancey

Seller

- Name: Terri G. Crawley (Individual)
- Relationship: Listed as member of GARNER TREE FARM, LLC
- Status: ?? DISCREPANCY FLAGGED - Individual seller vs. LLC vested owner

Proposed Buyer/Owner

- Name: KYLA B. FORTENBERRY
- Role: Proposed Insured - Owner
- Policy Amount: \$80,000.00 (2021 ALTA Owner's Policy)

Proposed Lender

- Name: SOCIETY MORTGAGE, ITS SUCCESSORS AND/OR ITS ASSIGNS
- Role: Proposed Insured - Lender
- Loan Amount: \$80,808.00 (2021 ALTA Loan Policy)
- Loan ID: MS-26-1226

Title Company

- Name: Old Republic National Title Insurance Company
- Registry ID: 1013817
- Office Address: 1200 E. Market Street, Suite 751, Akron, OH 44305-4024

REQUIREMENTS STATUS

Summary Table

Req. #	Requirement	Status	Priority	Notes
1	Vested Owner/Seller Discrepancy	? OPEN	HIGH	LLC vs. individual seller; LLC documentation required
2	Verify Open Deed of Trust	? SATISFIED	LOW	No open deed of trust found in Marion County records
3	Bankruptcy Search	? SATISFIED	LOW	No proceedings found for LLC, Terri G. Crawley, or Kyla B. Fortenberry
4	Record Deed to KYLA B. FORTENBERRY	? OPEN	CRITICAL	Wrong grantees recorded; corrected deed required
5	Record Deed of Trust	? OPEN	HIGH	Deed of Trust to Society Mortgage not yet recorded
6	LLC Documentation & Compliance	? OPEN	HIGH	Operating agreement, good standing cert., member resolution required

DETAILED REQUIREMENT ANALYSIS

? Requirement 2: Verify Open Deed of Trust

Status: SATISFIED

No open deed of trust was found in Marion County records. Verification by escrow personnel and proposed insured confirms no existing encumbrances requiring satisfaction.

? Requirement 3: Bankruptcy Search

Status: SATISFIED

Bankruptcy searches completed for:

- GARNER TREE FARM, LLC
- Terri G. Crawley
- Kyla B. Fortenberry

No bankruptcy proceedings identified.

? Requirement 1: Vested Owner vs. Seller Discrepancy

Status: OPEN | Priority: HIGH

Issue Description

The commitment identifies GARNER TREE FARM, LLC as the vested owner in Marion County records, but the seller is

listed as TERRI G. CRAWLEY (individual). This fundamental discrepancy must be resolved before closing.

Analysis

- Terri Garner Crawley is identified as a member of GARNER TREE FARM, LLC
- The LLC is the entity holding record title
- Individual conveyance by Terri G. Crawley alone does not convey LLC-held property
- All four LLC members must authorize the transaction

Required Actions

1. Submit LLC Operating Agreement - Original or certified copy with all amendments
2. Submit Good Standing Certificate - Current certificate from Mississippi Secretary of State
3. Submit Member Authorization Resolution - Signed by all four members:
 - Ricky Lane McPhail
 - Terri Garner Crawley
 - Patsy Garner Brewton
 - Karen Garner Delancey
4. Clarify Conveyance Authority - Confirm whether:
 - Terri G. Crawley has power of attorney to act on behalf of LLC, OR
 - All members consent to sale, OR
 - Other authorization mechanism exists

Risk Assessment

MEDIUM-HIGH RISK: Without proper LLC documentation and member authorization, the deed from GARNER TREE FARM, LLC may be voidable, and the buyer's title could be challenged by non-consenting members.

? Requirement 4: Record Deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY

Status: OPEN | Priority: CRITICAL

Issue Description

CRITICAL DEFECT: Requirement 4 mandates recording a warranty deed from GARNER TREE FARM, LLC as grantor to KYLA B. FORTENBERRY as grantee. However, the recorded deed (Instrument #20260174, recorded January 13, 2026) conveys the property to CHRISTOPHER LANE THORNHILL AND SARA E. JACKSON instead.

Analysis

- Recorded Deed Details:
 - Grantor: GARNER TREE FARM, LLC
 - Grantees: Christopher Lane Thornhill and Sara E. Jackson
 - Recording Date: January 13, 2026
 - Instrument #: 20260174
 - County: Marion County, Mississippi
- Required Deed Details:
 - Grantor: GARNER TREE FARM, LLC
 - Grantee: KYLA B. FORTENBERRY

- Status: NOT RECORDED

Chain of Title Impact

This represents a complete failure to satisfy Requirement 4 and creates an irreconcilable chain of title break:

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GARNER TREE FARM, LLC
?
Christopher Lane Thornhill & Sara E. Jackson [WRONG GRANTEES]
?
[No recorded conveyance to KYLA B. FORTENBERRY]
?
KYLA B. FORTENBERRY [PROPOSED BUYER - NO VALID CHAIN]
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Policy Issuance Impact

- Owner's Policy: Cannot be issued to KYLA B. FORTENBERRY without valid chain of title
- Loan Policy: Cannot be issued to Society Mortgage without valid owner's title
- Underwriting: Policy issuance is prohibited until corrected deed is recorded

Required Actions

1. Obtain Corrected Deed - Secure executed warranty deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY
2. Record Corrected Deed - File in Marion County records with proper legal description and mineral reservations
3. Obtain Quitclaim Deed - Secure quitclaim deed from Christopher Lane Thornhill and Sara E. Jackson releasing any interest to KYLA B. FORTENBERRY (to clear title defect)
4. Provide Recording Confirmation - Submit certified copy of recorded corrected deed with recording information

Risk Assessment

CRITICAL RISK: This defect prevents policy issuance and closing. The transaction cannot proceed until resolved.

? Requirement 5: Record Deed of Trust

Status: OPEN | Priority: HIGH

Issue Description

Requirement 5 mandates recording a deed of trust from KYLA B. FORTENBERRY (Trustor) in favor of SOCIETY MORTGAGE (Beneficiary) securing an original principal balance of \$80,808.00. This document has not yet been recorded.

Required Actions

1. Obtain Executed Deed of Trust - Properly executed by KYLA B. FORTENBERRY
2. Record in Marion County - File with Marion County Recorder's Office
3. Provide Recording Confirmation - Submit certified copy with recording information and instrument number

Timing Note

This requirement cannot be satisfied until Requirement 4 (corrected deed to buyer) is recorded, as the buyer must have valid title before encumbering the property.

Risk Assessment

HIGH RISK: Lender will not fund without recorded deed of trust. Closing cannot occur without this security instrument.

? Requirement 6: LLC Documentation and Compliance

Status: OPEN | Priority: HIGH

Issue Description

Requirement 6 mandates submission of comprehensive LLC organizational documentation to verify authority to convey and member consent.

Required Submissions

1. Operating Agreement

- Original or certified copy
- All amendments and modifications
- Certification of no amendments (if applicable)

2. Good Standing Certificate

- Current certificate from Mississippi Secretary of State
- Dated within 30 days of closing
- Confirms LLC is active and in good standing

3. Member Authorization Resolution

- Signed by all four members:
- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey
- Authorizes sale of property to KYLA B. FORTENBERRY
- Authorizes execution of deed and related documents
- Confirms no member objections

4. Additional Requirements

- Any other documentation required following review of organizational documents
- Clarification of member voting rights and approval thresholds
- Confirmation of Terri G. Crawley's authority to act as seller

Risk Assessment

HIGH RISK: Without proper authorization documentation, the conveyance may be voidable by non-consenting members, and the buyer's title could be challenged.

EXCEPTIONS ANALYSIS

Overview

The commitment contains 12 exceptions to title. Of these, 2 are critical (mineral interests), 2 are standard (survey and defects), and 8 are specific encumbrances or reservations.

Standard Exceptions (Acceptable)

Exception 2: Defects Appearing After Commitment Date

- Type: Standard commitment exception
- Description: Any defect, lien, encumbrance, adverse claim, or other matter appearing for the first time in public records or created between commitment date and satisfaction of all Schedule B, Part I requirements
- Status: Standard - No action required
- Risk Level: LOW

Exception 3: Survey Exceptions

- Type: Standard commitment exception
- Description: Facts which would be disclosed by a comprehensive survey of the premises
- Status: Standard - No action required
- Risk Level: LOW
- Note: Buyer may elect to obtain survey to identify any boundary issues, easements, or encroachments

Exception 4: Rights of Parties in Possession

- Type: Standard commitment exception
- Description: Rights or claims of parties in possession
- Status: Standard - No action required
- Risk Level: LOW
- Note: Property inspection recommended to identify any occupants or claims

Exception 5: Mechanics' and Contractors' Liens

- Type: Standard commitment exception
- Description: Mechanics', contractors', or material men's liens and lien claims where no notice appears of record
- Status: Standard - No action required
- Risk Level: LOW
- Note: No liens identified in current records

Exception 6: Changes in Title After Commitment Date

- Type: Standard commitment exception
- Description: Any changes in title occurring subsequent to commitment date and prior to policy issuance
- Status: Standard - No action required
- Risk Level: LOW

Exception 7: Taxes and Special Assessments

- Type: Standard commitment exception
- Description: Taxes and special assessments for current tax year and all subsequent years

- Status: Satisfied - 2025 taxes paid
- Risk Level: LOW
- Note: First installment of 2025 county taxes (\$1,132.52) is paid; no delinquent amounts

Critical Exceptions (Require Analysis)

?? Exception 1: Mineral Reservations

- Description: Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel in, on and under the land
- Status: OPEN - Duplicate with Exception 8
- Risk Level: HIGH

?? Exception 8: Oil, Gas, Coal and Mineral Interests

- Description: Oil, gas, coal and other mineral interests together with the rights appurtenant thereto whether created by deed, lease, grant, reservation, severance, sufferance or exception
- Status: OPEN - Duplicate with Exception 1
- Risk Level: HIGH

Mineral Interests Analysis

Issue: Duplicate and Overlapping Exceptions

Exceptions 1 and 8 both address mineral interests with overlapping language:

- Exception 1 covers "minerals of every kind and character, including oil, gas, sand and gravel"
- Exception 8 covers "oil, gas, coal and other mineral interests"

This creates ambiguity regarding:

- Which minerals are actually reserved or severed
- Whether all mineral interests are excluded from the conveyance
- Scope of buyer's title

Confirmation from Warranty Deed

The recorded warranty deed (page 27) contains explicit language:

> "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

This confirms that minerals are severed from the property and retained by the grantor or prior owner.

Recommended Actions

1. Consolidate Exceptions - Combine Exceptions 1 and 8 into single, clear exception
2. Clarify Mineral Status - Confirm whether:
 - Minerals are completely severed and retained by grantor
 - Specific mineral interests are reserved to third parties
 - Any mineral leases or conveyances exist
3. Obtain Mineral Affidavit - Request affidavit from GARNER TREE FARM, LLC confirming:

- Current status of mineral interests
- Any outstanding mineral leases or royalty interests
- Confirmation that minerals are not included in conveyance to buyer

Risk Assessment

MEDIUM RISK: Mineral severance is standard for agricultural property in Mississippi. However, duplicate exceptions create ambiguity that should be clarified before policy issuance. Buyer should be aware that mineral rights are not included in the conveyance.

Impact